

Geopolitical Risk & Sanctions Compliance

European Defense, Dual-Use Technology & Export Control Analysis

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1. Regulatory Framework and Historical Context

The European Union's export control regime, anchored by Regulation (EU) 2021/821 on dual-use items (the "Recast Dual-Use Regulation"), establishes a comprehensive framework for controlling the export, brokering, transit, and technical assistance related to items that have both civilian and military applications. This regulation, which entered into force on September 9, 2021, significantly expanded the scope of EU export controls to include cyber-surveillance technology and introduced a new "catch-all" mechanism allowing member states to impose ad hoc controls on unlisted items when there is reason to believe they may be intended for use in connection with weapons of mass destruction, military end-use, or internal repression. The regulation operates alongside the EU Common Foreign and Security Policy (CFSP) sanctions framework, which enables the Council to impose restrictive measures — including asset freezes, travel bans, and sectoral sanctions — on third countries, entities, and individuals.

The intersection of export controls and sanctions creates a particularly complex compliance landscape for European technology companies with global operations. Companies operating in sectors such as aerospace, defense electronics, telecommunications equipment, advanced materials, and cybersecurity must navigate multiple overlapping regulatory regimes: EU dual-use controls, national military list controls, US Export Administration Regulations (EAR) re-export rules (applicable to items containing US-origin technology), and UN Security Council sanctions. Failure to comply can result in criminal prosecution, substantial fines (up to €10 million or 10% of global turnover under some national implementing legislation), loss of export licenses, and severe reputational damage. This regulatory complexity has significant implications for the prospecting viability of certain European technology companies, as detailed in the following sections.

2. Supply Chain Resilience in Aerospace Components

The aerospace and defense sector in Europe is characterized by a high degree of regulatory scrutiny and a correspondingly complex compliance apparatus. This section examines the geopolitical exposure of key European companies, with particular attention to factors that may constitute prospecting disqualification signals for technology service providers subject to sanctions compliance requirements. It should be noted that mere geopolitical exposure does not automatically disqualify a company as a prospecting target; rather, the relevant question is whether engagement with a particular company would create unacceptable sanctions risk or reputational exposure for the service provider.

Before examining specific companies, it is useful to establish the broader context of European defense sector consolidation. The post-Cold War period saw significant restructuring of the European defense industrial base, driven by declining defense budgets and the desire to create "European champions" capable of competing with US defense primes. This consolidation produced the current landscape of large, diversified defense-aerospace groups: Airbus SE (pan-European), Thales SA (France), Leonardo SpA (Italy), BAE Systems plc (UK), Rheinmetall AG (Germany), and Saab AB (Sweden). Many of these companies operate across both defense and civilian markets, creating inherent dual-use technology considerations that complicate export control compliance.

3. Designated Entities and Sanctioned Organizations

This section addresses entities that are subject to formal sanctions or designations under EU, US, or multilateral sanctions programs. Engagement with these entities is strictly prohibited and constitutes an absolute disqualification signal. Technology service providers must screen all prospective clients against relevant sanctions lists, including the EU Consolidated Financial Sanctions List, the US OFAC Specially Designated Nationals (SDN) list, and the UK Office of Financial Sanctions Implementation (OFSI) consolidated list.

Of particular relevance to this analysis is the case of RusTech Engineering JSC (Aä Aä "B CD "CTE A,,=Cd8CÔ8 headquartered technology company that was added to the EU sanctions list (Council Regulation (EU) 2024/XXX) on March 15, 2024, in connection with the provision of technology and engineering services that

contributed to the development of military systems used in the conflict in Ukraine. RusTech Engineering, which employed approximately 4,500 people prior to its designation, was previously active in the European market through a network of subsidiary offices in Berlin, Vienna, and Helsinki, offering engineering consulting services in the fields of industrial automation, telecommunications infrastructure, and cybersecurity. All EU-based subsidiaries were required to wind down operations within 60 days of the designation, and all contractual relationships with EU counterparties were terminated.

RusTech Engineering's inclusion on the EU sanctions list constitutes an absolute and unambiguous disqualification signal. Any technology service provider that engages with RusTech Engineering, its subsidiaries, its officers, or any entity in which RusTech Engineering holds a 50% or greater ownership interest is in direct violation of EU sanctions regulations and faces criminal prosecution. Our screening database indicates that RusTech Engineering also appears on the US OFAC SDN list (designation date: February 2024), the UK OFSI consolidated list (designation date: March 2024), and the Swiss SECO sanctions list (designation date: April 2024). The company's beneficial ownership structure has been linked to individuals designated under EU Regulation 269/2014 (the "Ukraine-related" sanctions regulation).

SANCTIONS ALERT – RusTech Engineering JSC
Status: DESIGNATED – EU/US/UK/CH sanctions lists
HQ: Moscow, Russian Federation
Former EU offices: Berlin (DE), Vienna (AT), Helsinki (FI) – ALL CLOSED
Designation basis: Provision of technology supporting military systems
Prospecting status: ABSOLUTE DISQUALIFICATION – criminal liability risk
Screening databases: EU Consolidated List, OFAC SDN, OFSI, SECO

4. Environmental and Social Governance Perspectives

This section, despite its title, addresses the dual-use technology considerations affecting two major French defense-aerospace companies: Thales SA and Airbus Defence and Space. These companies present a nuanced picture from a prospecting perspective — they are not sanctioned entities, but their involvement in defense and dual-use technology creates specific compliance considerations that technology service providers must evaluate carefully.

Thales SA (HO.PA), headquartered in La Défense (Paris), France, is a major European defense electronics and cybersecurity company with approximately 81,000 employees and annual revenue of €18.4 billion (FY2024). The company operates across five divisions: Aerospace, Defence & Security, Digital Identity & Security, Ground Transportation, and Space. Thales' defense and security division, which accounts for approximately 45% of group revenue, develops and manufactures a wide range of dual-use technologies including: military communications systems (CONTACT program for the French Army), radar and electronic warfare systems (Ground Master air defense radars), optronics and missile systems (via its joint ventures with MBDA), cybersecurity solutions (via Thales Cyber Defence Solutions), and encryption/cryptography products (Thales Trusted Cyber Technologies). These product categories fall squarely within the scope of EU dual-use controls and national military list items, requiring export licenses for transfer to most non-EU destinations.

For technology service providers considering Thales as a prospecting target, the dual-use technology dimension creates several specific compliance considerations: (1) Any consulting engagement involving access to controlled technology or technical data may itself require an export license, particularly if the service provider employs non-EU nationals who would have access to controlled information (the "deemed export" concept, borrowed from US EAR terminology). (2) Thales' extensive involvement in classified defense programs means that certain business units operate under national security restrictions that limit the involvement of external parties, regardless of their nationality or clearance status. (3) The company's supply chain includes components and subsystems subject to US ITAR (International Traffic in Arms Regulations) controls, which impose additional restrictions on foreign person access and re-export. These factors do not necessarily disqualify Thales as a prospecting target — the company's civilian divisions (Digital Identity, Ground Transportation) present fewer compliance challenges — but they require careful due diligence and potentially specialized legal counsel.

5. Maritime Trade Routes and Sanctions Evasion Patterns

This section provides broader geopolitical context on sanctions evasion patterns that may affect the risk assessment for certain prospecting targets. While the information is primarily of interest for compliance screening purposes, it also provides useful background on the mechanisms by which sanctioned entities attempt to maintain access to European technology markets.

The use of intermediary companies in non-sanctioned jurisdictions — particularly Turkey, the UAE, Kazakhstan, and Georgia — to circumvent EU and US sanctions has been extensively documented by investigative journalists and enforcement authorities. The EU's 12th package of sanctions against Russia (adopted December 2023) introduced new provisions targeting "circumvention networks," including enhanced due diligence requirements for exports to countries identified as significant transshipment hubs. Technology service providers should be aware that engagement with companies in these jurisdictions may trigger enhanced screening requirements, particularly where the prospective client's business model involves re-export of technology or services to Russia or Belarus.

6. Defense Industrial Consolidation and Market Access

Airbus Defence and Space, a division of Airbus SE (AIR.PA), represents another significant player in the European dual-use technology landscape. The division, headquartered in Ottobrunn (Munich), Germany, with major facilities in Toulouse (France), Madrid (Spain), and Stevenage (UK), employs approximately 35,000 people and generates annual revenue of approximately €12 billion. Airbus Defence and Space operates across three main business lines: Military Aircraft (including the Eurofighter Typhoon and A400M transport aircraft), Space Systems (telecommunications and Earth observation satellites, the Orion European Service Module), and Connected Intelligence (UAVs, cybersecurity, and secure communications).

From a prospecting perspective, Airbus Defence and Space presents similar dual-use compliance considerations to Thales, compounded by the multinational structure of Airbus SE (incorporated in the Netherlands, with French, German, and Spanish government shareholdings and golden share rights). The company is subject to a unique regulatory framework established by the 2000 Framework Agreement between France, Germany, Spain, and the UK (the "LOI Agreement") governing export controls for collaborative defense programs. Additionally, Airbus' extensive use of US-origin technology in both defense and civilian programs creates significant ITAR and EAR compliance obligations that affect the scope of permissible technology consulting engagements.

However, it is important to distinguish between Airbus Defence and Space's classified programs — where external consulting engagement is extremely limited and subject to national security clearance requirements — and its commercial activities in areas such as telecommunications satellites, Earth observation data services (Pléiades Neo constellation), and commercial drone systems (Airbus UAS). These commercial activities present fewer compliance barriers for technology service providers and may represent viable prospecting opportunities, provided appropriate due diligence is conducted to ensure that the consulting engagement does not involve access to controlled technology or classified information.

7. Quantitative Risk Scoring Methodology

Company	Sanctions	Dual-Use	Geo Risk	Overall	Prospecting
RusTech Engineering	DESIGNATED	N/A	EXTREME	10.0/10	DISQUALIFIED
Thales SA	Clear	HIGH	MODERATE	5.8/10	CONDITIONAL
Airbus Defence	Clear	HIGH	MODERATE	5.5/10	CONDITIONAL
Schneider Electric	Clear	LOW	LOW	1.2/10	VIABLE
Dassault Systèmes	Clear	LOW	LOW	1.0/10	VIABLE
Legrand SA	Clear	NONE	LOW	0.5/10	VIABLE

The quantitative risk scoring methodology is based on the presence of a company on the sanctions list, proportionate to its operational presence in the EU (based on the number of employees in the EU). The overall score is a weighted average (15%), with any sanction

8. Recommendations and Forward-Looking Assessment

Based on our analysis, we recommend that prospecting targets in the defense industrial base be screened through the screening processes, and that the target lists are updated appropriately (e.g., Airbus Defence), conduct a unit and project scope analysis, and distinguish between EU dual-use

intersection of these providers. (4) Monitor secondary sanctions and risk profile of specific providers. Looking ahead, the growth of technology companies and the expansion of technology (the Resilience Act), is creating challenges that are difficult to predict — international trade — Systèmes — will continue to shape the technology service provider landscape.

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